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US Economics Weekly | North America

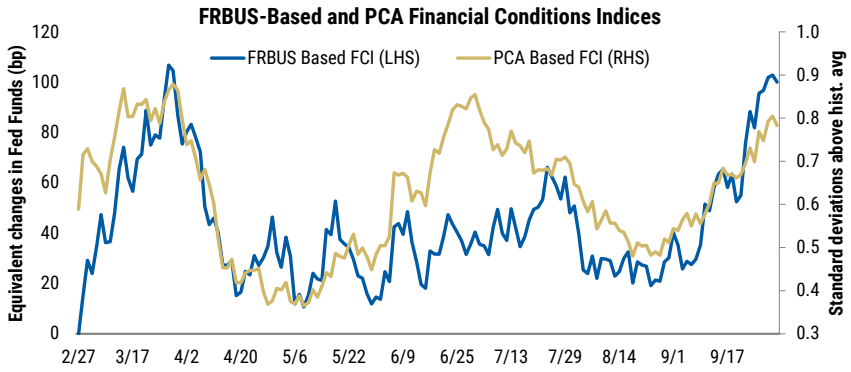
Much ado about neutral

Our models show the neutral rate has risen, but we still view the policy rate as neutral to modestly restrictive, rather than accommodative. Meanwhile, financial conditions have tightened but are still acting as a headwind rather than a brake. These together support the Fed tightening gradually.

Key Takeaways

- Since 1Q25 our estimate of the real neutral rate has risen from under 100bp to about 150bp, suggesting current policy is neutral or modestly restrictive.
- We also use two approaches, a FRBUS-based model and a PCA model, to examine broader financial conditions and the restraint on private demand.
- Our FRBUS index shows 100bp of tightening since Feb, driven primarily by higher Treasury yields. Our PCA index is 0.78 standard deviations above average.
- Pulling this together, if policy is not accommodative, then the Fed does not need to play catch-up. We maintain our view for two more hikes in Dec & March.
- Still, Sept CPI next week matters for the Oct meeting. We expect core CPI at 0.24% m/m, headline at 0.62%. This is in line with core PCE at 0.23%.

Exhibit 1: Both the FRBUS-based model and the PCA model point to moderately restrictive financial conditions



Note: FRBUS-based estimate is shown as the equivalent change in the Fed Funds rate versus the end of February. PCA-based estimate is shown as the number of standard deviations above the historical average, using data since 1990. Source: Bloomberg, Federal Reserve Board, Haver Analytics, Morgan Stanley Research

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For important disclosures, refer to the Disclosure Section, located at the end of this report.

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US Economics: Key views

US Economic Outlook: Resilience meets Restraint

Growth: Resilient despite adverse trade and oil shocks. Real GDP grows 2.4% (4Q/4Q) in 2026 and 2.3% in 2027. Final private domestic demand is even stronger but slows modestly into next year.

Labor: Low hire, low fire. Employment growth remains soft, but immigration controls have reduced breakevens to around 50k per month. The unemployment rate remains low.

Inflation: A sticky path lower. We expect disinflation, but second round effects from the oil shock and residual seasonality mean slow progress. Core PCE ends 2026 at 3.0% (4Q/4Q) and 2027 at 2.6%.

Consumer: Two-speeds. Low-income consumers remain squeezed, while wealth supports the high-end. Real consumption slows to 1.8% in 2027 from 2.3% in 2026.

AI: Increasingly macro-relevant. AI-related investment contributes around 60bps to real GDP growth in 2026 and 2027. AI-driven productivity growth adds a further boost. Modest labor displacement.

Fed: Measured tightening. We expect two 25bp hikes in December and March, to a target range of 4.25% - 4.5%. Data support a measured recalibration of Fed policy over more aggressive tightening.

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Financial Conditions: Restrictive, but not unusually so

How restrictive is monetary policy?

At the September FOMC meeting, Chair Warsh said the Fed removed "a dose of accommodation." Are financial conditions accommodative? We take a fresh look at the stance of policy and financial conditions and conclude that financial conditions are modestly restrictive; more of a headwind than a brake.

The Fed raised the federal funds rate by 25bp to 3.75–4.00% in September, citing resilient domestic spending, robust AI-related business spending and above-target inflation. Yet Chair Warsh questioned the usefulness of treating an estimated neutral interest rate as an operational guide to policy, arguing that credit markets showed few signs of policy restraint.

We approach the question—is monetary policy restrictive?—from two directions. First, we estimate the neutral policy rate using a New Keynesian framework, asking what real short rate is consistent with the observed configuration of the output gap, unemployment gap and inflation gap. Second, we examine the stance of broader financial conditions and the channels through which the policy rate is (or is not) restraining private demand. On net, our two-track approach suggests that monetary policy is neutral to modestly restrictive while financial conditions are restrictive, but not unusually so.

The "Gap" Approach: Likely neutral, at most modestly restrictive

Our assessment of the neutral policy rate starts by estimating the economy's underlying degree of slack using a multivariate unobserved-components framework, which jointly decomposes output, labor market and inflation indicators into permanent trends and a common cyclical component. We extend this framework by adding an interest-rate channel that allows the same system to infer the neutral real policy rate.

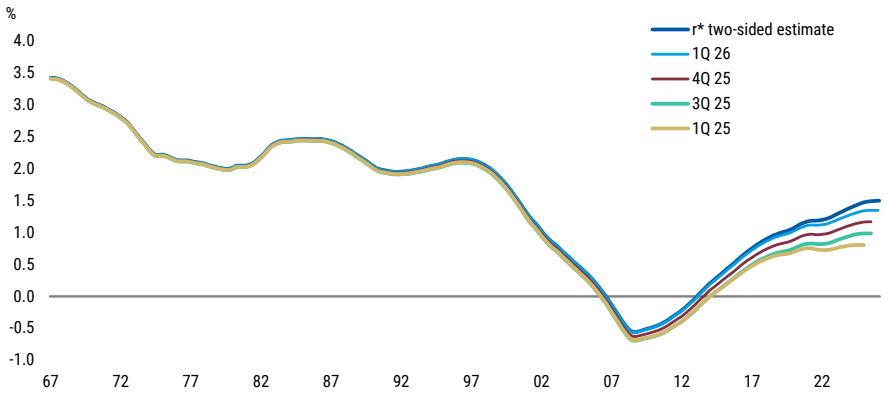
Since 1Q25, our estimate of the real neutral policy rate has risen from a bit below 100bp to about 150bp. A real neutral rate of 1.5% would imply a nominal neutral rate of 3.5% if inflation were consistent with the 2% target, or 3.8–4.1% based on our current forecast for PCE inflation in 2027. Hence, the previous policy rate setting at 3.50–3.75% and the current setting of 3.75–4.00% would be viewed as neutral to moderately restrictive.

Our estimate is within the range of other publicly available estimates, but there are two important caveats. First, neutral-rate estimates are inherently imprecise because r* is unobservable and must be inferred from other estimated variables. We have greater confidence in the direction of travel than in the actual point estimate. Second, oil-price and tariff shocks may be misinterpreted as evidence of excess demand, biasing upward estimates of NAIRU, the output gap and r*.

In conclusion, monetary policy was roughly neutral to modestly restrictive before the latest rate increase and is now somewhat more restrictive. Additional rate increases from here should move monetary policy more clearly into restrictive territory.

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Exhibit 2: Our estimate of the real neutral rate of interest has risen by over 50bp to about 150bp as of 2Q 26. That said, confidence intervals are wide and n of supply shocks (tariffs and oil) likely bias model estimates higher.



Note: Two-sided estimates. Current estimate is as of 2Q 2026. Expressed in terms of the real federal funds rate needed to keep the macroeconomy in equilibrium. Source: Morgan Stanley Research

From the policy rate to financial conditions

Comparing the federal funds rate with an estimate of the neutral rate provides one way to assess monetary policy, but it is necessarily incomplete. Firms and households make spending and hiring decisions based on a much broader set of financial prices, including long-term interest rates, credit spreads, equity prices and exchange rates.

We examine two complementary approaches to financial conditions: a model-based approach that weights financial variables based on their contribution to economic activity, and a principal components analysis (PCA) approach that extracts common variation across financial markets.

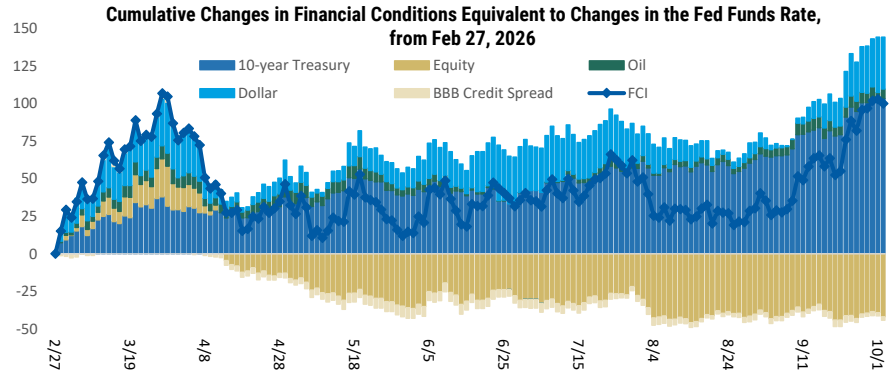
FRBUS-Based Approach: Financial conditions have tightened by 100bp since February

Our model-based financial conditions index uses the FRBUS model to estimate the effect on economic growth of changes in the 10-year Treasury yield, S&P 500 returns, BBB corporate credit spreads, the dollar and oil prices. It converts those effects into an equivalent change in the federal funds rate. The index is also presented each week in the Financial conditions: The Fed awakens section of this weekly report, where we index it to the day before the last FOMC meeting

As of October 2, financial conditions were around 100bp tighter than at the end of February, although there was significant variation over time. From February 27 through October 2, higher 10-year Treasury yields accounted for 103bp of tightening, while the dollar and oil contributed another 34bp and 6bp, respectively. Equity returns and BBB credit spreads offset 42bp and 2bp.

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Exhibit 3: Our FRBUS model indicated that financial conditions were around 100 basis points tighter than at the end of February



Source: Bloomberg, Federal Reserve Board, Morgan Stanley Research

PCA-Based Approach: Financial conditions are only modestly restrictive

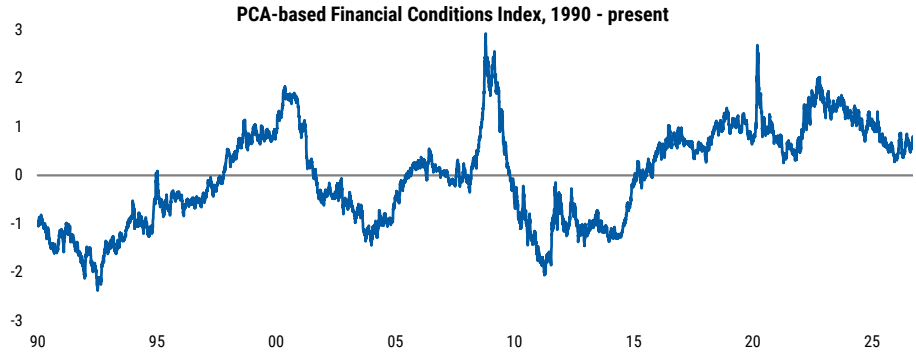
Our PCA-based financial conditions index extracts common variation across 13 asset prices spanning interest rates, credit, equities, foreign exchange and other financial markets, using daily observations since January 1990. Unlike the FRBUS-based measure, the PCA index measures the level of financial conditions relative to historical norms rather than the equivalent policy-rate impulse associated with recent market movements. We view the two measures as complements rather than substitutes.

As of October 2, the PCA index stood at 0.78 standard deviations above its historical average, suggesting that financial conditions were tighter than normal, but only moderately so. For comparison, the index averaged 0.75 in 2025, 1.41 in 2023 and 0.69 in 2016. Current conditions remain well below peaks associated with past downturns and financial crises. Before the bursting of the dot-com bubble, financial conditions were about 2 standard deviations above normal, while they reached almost 3 standard deviations during the 2008 global financial crisis.

Historically, the index has remained within ±1 standard deviation of its average about 62% of the time, a range we characterize as neutral to modestly restrictive or accommodative. Therefore the current reading of 0.78 suggests financial conditions are leaning against prevailing economic trends, but are not tight enough to materially change their direction.

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Exhibit 4: Financial conditions are modestly restrictive, but not unusually so. Financial conditions would need to be tighter before they turn more clearly restrictive



Source: Bloomberg, Haver Analytics, Morgan Stanley Research

Monetary Policy Implications: A measured pace of tightening is defensible

Incoming data still point to overheating as a risk scenario rather than a baseline. Revisions to inflation were more favorable than expected, while the September employment report was soft on the margin, with slow employment growth, a slight increase in the unemployment rate, and further deceleration in wages. The minutes of the September FOMC meeting suggest a data-dependent tightening outlook rather than a more aggressive shift in policy or the reaction function. Only "several" participants (which we assume is 4-5) "viewed the current policy rate as not restrictive or only mildly restrictive," which we think means the Fed can pursue a measured pace of tightening rather than a faster pace or much higher terminal rate. We continue to expect a total of 75bp of policy-rate tightening, with two more 25bp hikes in December and March.

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Oil Tracker: Running out of buffers

Our baseline outlook for the U.S. economy assumes a permanent oil risk premium. The renewed pressure on energy prices has dragged the world into the seventh month of this prolonged energy price shock. Historically, episodes of acute geopolitical or physical supply disruption have mostly lasted 3–6 months, with the notable exception of the 1978–79 oil shock and its aftermath. As buffers such as higher U.S. exports, weaker Chinese imports, and ample inventories begin to fade, we update our oil tracker to highlight developments and trends that matter for U.S. economic growth.

The latest data suggest that crude oil inventories in the Strategic Petroleum Reserve (SPR) have fallen further, while both U.S. crude oil imports and exports have remained on an upward trend. Crude oil prices have continued to rise, while diesel margins have widened further.

Prices: higher crude spot prices, wider diesel margins

The latest spot prices, as of October 5, were $96.13 per barrel for WTI in Cushing, Oklahoma, and $125.51 per barrel for Brent in Europe. We convert diesel and gasoline prices to a per-barrel basis for a better comparison: diesel was at $200.09 per barrel, while gasoline was at $166.50 per barrel. From July to September, the gap between gasoline and crude oil prices remained broadly unchanged, whereas the gap between diesel and crude oil continued to widen. The gaps narrowed by $16 and $31 for diesel and gasoline respectively in early October. We will continue to monitor whether this is a temporary development or the beginning of a downward trend in prices.

We think this divergence is partially driven by refineries around the Strait of Hormuz reducing their demand for crude oil as disruptions constrain their ability to ship refined products out of the region. At the same time, these disruptions have reduced the effective supply of diesel to the global market, putting upward pressure on diesel prices relative to crude oil.

Quantities: Falling SPR stocks, stable net imports, rising production

As of October 2, U.S. commercial crude oil stocks, which represent the EIA's estimate of how many barrels of crude oil are physically held in U.S. storage at period-end, remained broadly unchanged from a week earlier. Meanwhile, crude oil stocks in the Strategic Petroleum Reserve (SPR) continued to fall to around 283.0 million barrels, the lowest level since April 1984.

The Energy Department said the SPR's minimum inventory is determined by "cavern mechanics," which, when applied across the full system, translates to a conservative operational minimum of about 70 million barrels. If the SPR continues to decline at a pace of roughly 30 million barrels every four weeks, inventories would approach this operational minimum by March 2027. Using data on U.S. domestic crude oil production, net imports, and SPR drawdowns, we estimate monthly U.S. crude oil use at around 520 million barrels. A monthly SPR drawdown of 30 million barrels therefore accounts for only about 6% of U.S. crude oil use.

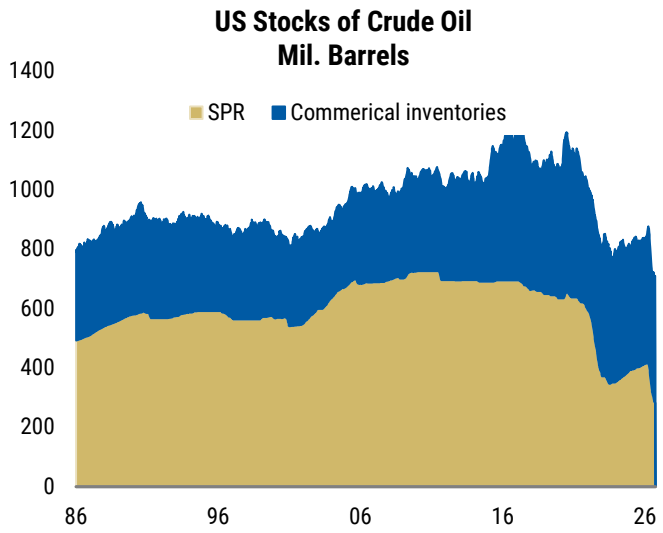
Both U.S. crude oil imports and exports have been on an upward trend since July, though

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they have risen at a similar pace, keeping net imports broadly unchanged. Canada remains the largest source of U.S. crude oil imports. Imports from Venezuela have risen at an average monthly rate of 14%, although the overall volume remains too small to have a meaningful impact so far. Imports from Saudi Arabia were minimal from May through August, reflecting constraints around the Strait of Hormuz, but appear to have improved moderately in September.

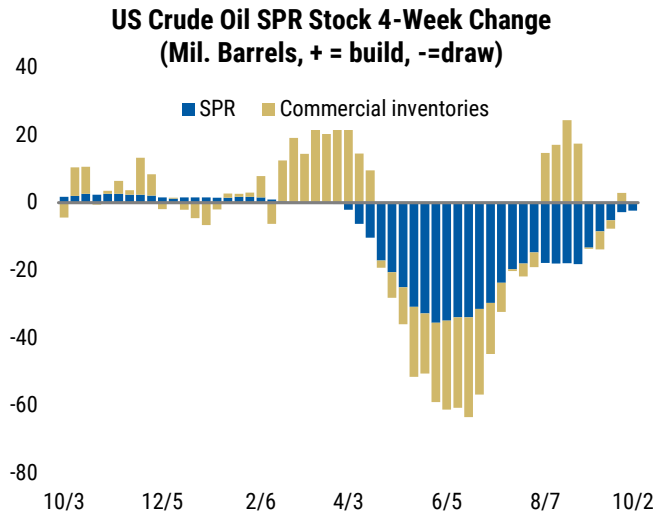
U.S. domestic crude oil production has also continued to rise, while U.S. refineries have increased their utilization, helping to support domestic supply amid ongoing disruptions.

Exhibit 5: SPR reached its lowest level since April 1984.



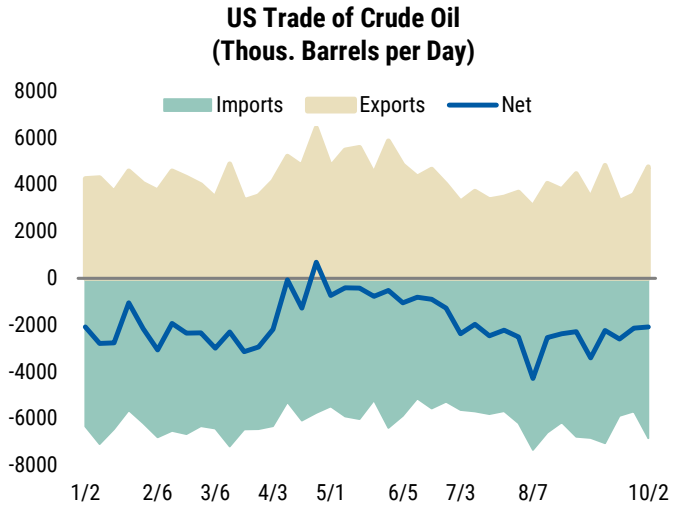
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 6: SPR drawdowns have slowed since June.



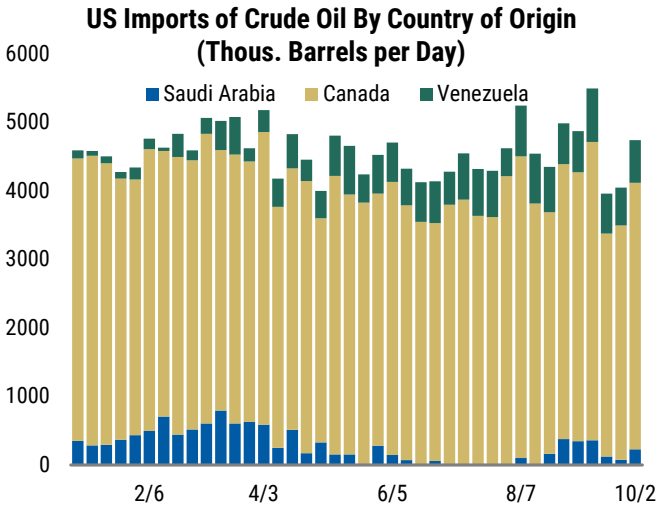
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 7: U.S. crude oil imports and exports have been on an upward trend since July



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 8: Canada remains the largest source of U.S. crude oil imports

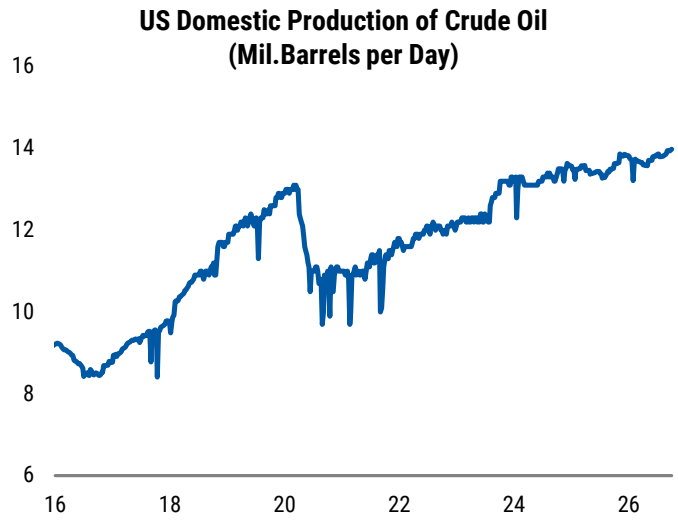


Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

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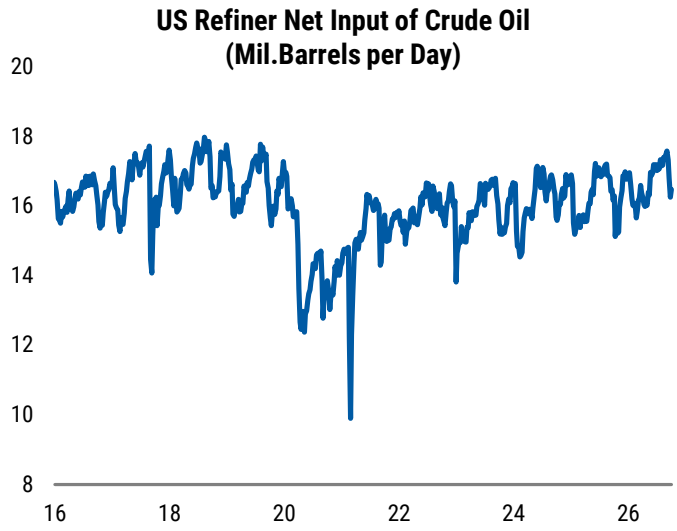
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Exhibit 9: U.S. domestic crude oil production has also continued to rise



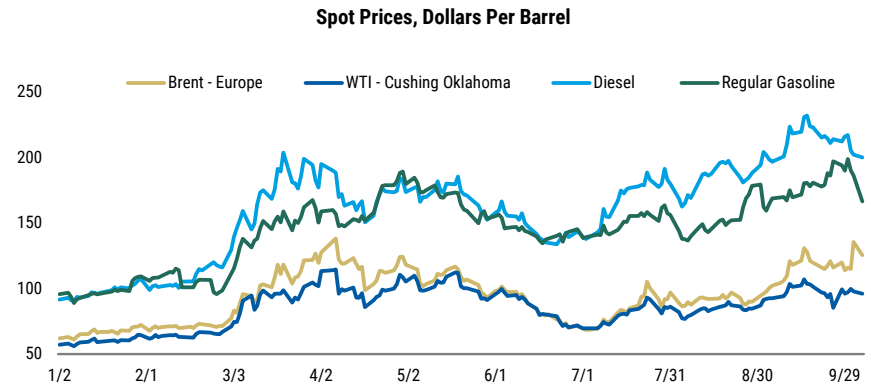
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 10: U.S. refineries have increased their utilization



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 11: The gap between diesel and crude oil prices has continued to widen since early July.



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

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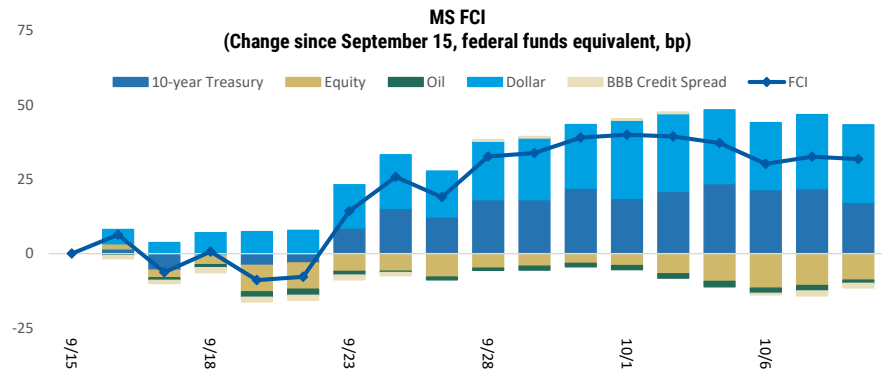
Financial conditions: The Fed awakens

Following the 25bp rate hike in September and the shift into an "oil risk premium" baseline, we reset our financial conditions index to September 15, 2026, the day prior to the September FOMC meeting, to track our FRB/US-based measure of financial conditions in this new hiking cycle. **As of the October 8 market close, financial conditions were 32bp tighter than they were before the September FOMC meeting.**

The index aims to capture how changes in asset prices weigh on future economic activity. It includes five daily variables: the 10-year Treasury yield, S&P 500 returns, the corporate BBB credit spread, the valuation of the U.S. dollar, and the price of oil. These are aggregated based on their estimated growth elasticities relative to the federal funds rate using the Federal Reserve's FRB/US model. As a result, the index can be interpreted as the equivalent change in the federal funds rate, expressed in basis points, required to generate a similar effect on economic activity.

Since the day before the September FOMC meeting, the easing in financial conditions has been equivalent to about a 33bp hike in the federal funds rate, driven primarily by a higher 10-year Treasury yield and USD appreciation. Equity returns and BBB credit spreads have offset some of the tightening.

Exhibit 12: Financial conditions have tightened moderately since the September FOMC



Source: Bloomberg, Morgan Stanley Research

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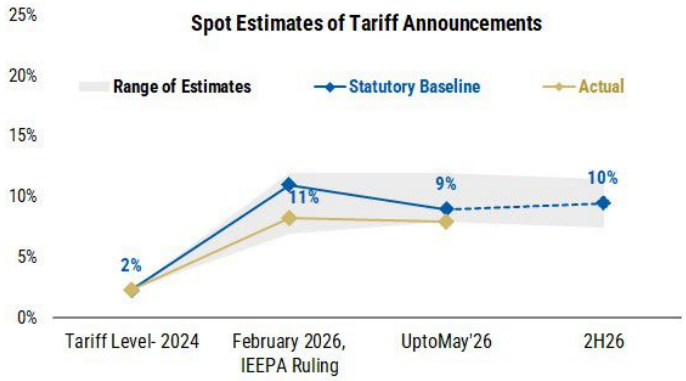
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The effective tariff rate, tariff receipts, and refunds

Tariffs averaged 6.7% over June-August, and we expect that it will rise to near 10%

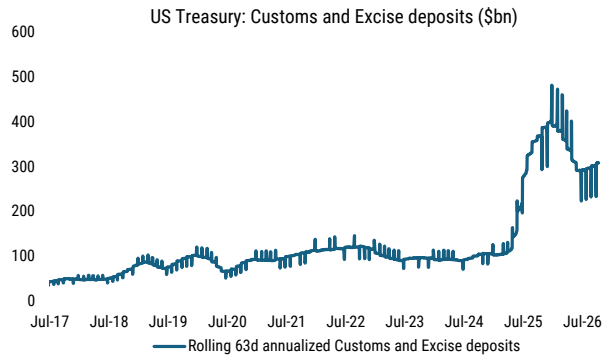
USTR's final forced-labor Section 301 action was broadly in line with our expectations. Effective July 24, the agency imposed additional tariffs on imports from 60 economies, setting a 10% duty on economies that have adopted, partially adopted, or committed to adopt a forced-labor import prohibition and a 12.5% duty on most others. The final action also preserves several key carve-outs, including goods already subject to Section 232 tariffs, USMCA-compliant imports, and a range of general and country-specific product exemptions. Overall, both the tariff structure and the principal exemptions closely resemble the proposal, reinforcing our expectation that Section 301 would serve as the broad country-level tariff floor. We continue to expect that the statutory effective tariff rate will converge toward ~10% by year-end. In the August 2026 data, the effective tariff rate is estimated at ~6.9%. Over the past three months of detailed trade data (June, July and August), the tariff rate has averaged 6.7%.

Exhibit 13: US effective tariff rate



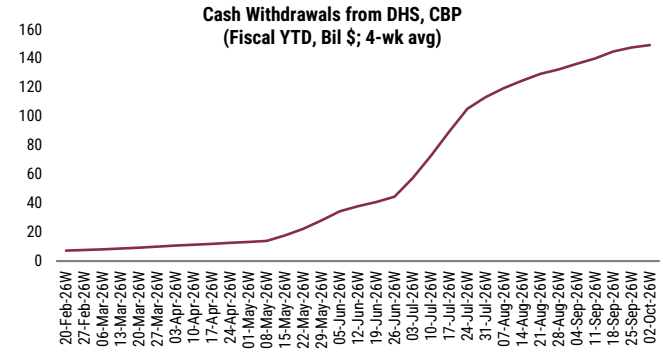
Source: US Census, US HTS, USITC, Morgan Stanley Research. The "Up to May'26" estimate is the average tariff rate on all imports over Jan - May 2026.

Exhibit 14: US Treasury: Customs and excise deposits from tariffs



Source: US Treasury, Bloomberg, Morgan Stanley Research

Exhibit 15: Cash withdrawals from the DHS - CBP, as a proxy for tariff refunds



Source: US Treasury, Haver Analytics, Morgan Stanley Research

Tariff refunds represent cash returned to importers when customs duties were previously overpaid or later determined to be refundable, for different reasons, including a tariff exclusion or court-ordered refund or a drawback claim tied to goods that are exported or destroyed. The process generally runs through CBP, where importers or brokers submit the relevant claim and supporting documentation; CBP then reviews eligibility, confirms the entry and status, and certifies approved refunds for payment. In Treasury cash-flow data, we monitor these payments at high frequency through CBP-related withdrawals in the Daily Treasury Statement. We interpret this as a tariff-refund proxy.

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3Q GDP tracking remains at 2.8%

Our 3Q GDP tracking remained at 2.8% in the latest week. The August trade deficit caused us to cut our estimate of exports slightly, but it also boosted our estimates of equipment investment and inventory investment, for no net change to 3Q GDP tracking.

This year through 3Q, consumption is rising at a 2.6% annual rate, ½ point faster than last year. GDP revisions gave some support to the recent pace, as GDI, personal asset income, and the saving rate were all raised. Business fixed investment continues to boom. And it appears that inventory investment rose in 3Q for the first time in a year and a half.

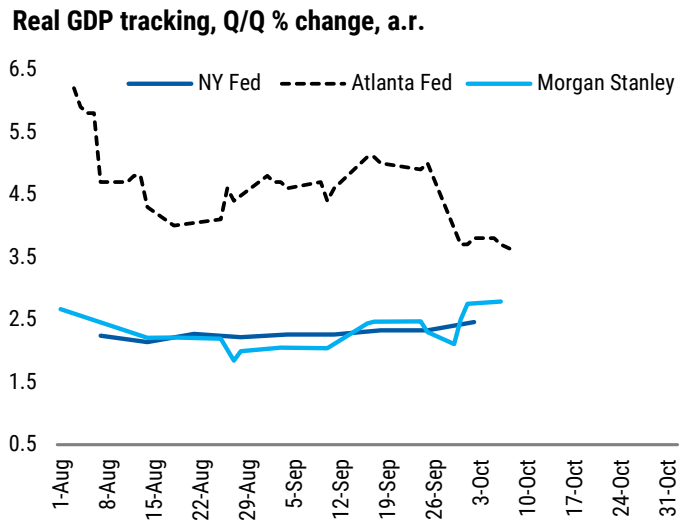
The Atlanta Fed's estimate fell slightly, from 3.7% to 3.6%. Most of the difference from our forecast reflects inventories and trade. The Atlanta Fed has inventory investment contributing 2.0 pct pt to 3Q growth; we have it contributing 1.6 pct pt; and they have trade subtract 2.7 pct pts from growth vs our 2.9 pt subtraction. The NY Fed estimate rose 0.1pt to 2.5%.

Exhibit 16: The effect of incoming data on our US GDP tracking estimate

Details of Q3 2026 US GDP tracking (% q/q saar unless indicated)													
Date	Data release	GDP	Final sales	PCE	Res	Equip	Struct	IPP	Gov	X	M	NX (level)	CIPI (level)
Aug 7	Baseline	2.7	2.6	2.4	1.0	8.0	-3.0	8.0	1.4	1.0	2.0	-1086	-47
Aug 14	Retail sales and CPI	2.2	2.1	**1.8**	1.0	8.0	-3.0	8.0	1.4	1.0	2.0	-1086	-47
Aug 18	Housing starts and permits	2.2	2.1	1.9	**-1.5**	8.0	-3.0	8.0	1.4	1.0	2.0	-1086	-47
Aug 25	New home sales	2.2	2.1	1.9	**-2.0**	8.0	-3.0	8.0	1.4	1.0	2.0	-1086	-47
Aug 26-27	Trade and durables	1.8	1.6	1.9	-2.0	**8.0**	-3.0	8.0	1.5	**-3.3**	**2.4**	**-1130**	-38
Aug 28	2Q consumption	2.0	1.7	**2.1**	-2.0	8.0	-3.0	8.0	1.5	-3.3	2.4	-1130	-37
Sep 3	Trade detail	2.1	1.6	2.1	-2.0	**15.0**	-3.0	8.0	1.5	**-6.0**	**4.0**	**-1165**	**-26**
Sep 10	Existing home sales	2.0	1.6	2.1	**-2.3**	15.0	-3.0	8.0	1.5	-6.0	4.0	-1165	-26
Sep 16	Retail sales	2.4	2.1	**2.9**	-2.3	15.0	-3.0	8.0	1.5	-6.0	4.0	-1165	**-34**
Sep 17	Housing starts and permits	2.5	2.1	2.9	**-1.6**	15.0	-3.0	8.0	1.5	-6.0	4.0	-1165	-34
Sep 24	New home sales	2.5	2.2	2.9	**-1.4**	15.0	-3.0	8.0	1.5	-6.0	4.0	-1165	-34
Sep 25	Durables	2.3	2.0	2.9	-1.4	**12.0**	-3.0	8.0	1.5	-6.0	4.0	-1165	-34
Sep 30	Trade (and reassessment of inventories)	2.1	0.7	2.9	-1.4	**15.0**	-3.0	8.0	1.5	-5.0	15.0	-1274	24
Sep 30	GDP revisions	2.5	1.0	**3.3**	-1.4	15.0	-3.0	8.0	1.5	-5.0	15.0	-1274	24
Oct 1	Construction	2.8	1.3	**3.3**	**-1.4**	15.0	**5.0**	8.0	**2.0**	-5.0	15.0	-1274	24
Oct 6	Trade	2.8	1.2	**3.3**	-1.4	**15.0**	5.0	8.0	2.0	**-6.0**	**15.0**	-1282	**33**
	GDP tracking	**2.8**	**1.2**	**3.3**	**-1.4**	**15.0**	**5.0**	**8.0**	**2.0**	**-6.0**	**15.0**	**-1282**	**33**
	Contribution to GDP growth (pp)		*1.2*	*2.3*	*-0.1*	*0.9*	*0.1*	*0.5*	*0.3*	*-0.7*	*-2.2*	*-2.9*	*1.6*
	Morgan Stanley official forecast	**2.5**	**2.1**	**2.9**	**-1.6**	**15.0**	**-3.0**	**8.0**	**1.4**	**-6.0**	**4.0**	**-1181**	**-45**

Note: Our GDP tracking estimate is distinct from our official published GDP forecast. It reflects the mechanical aggregation of monthly activity data that feed directly into the BEA's calculation. Where data releases have implications for the tracking components, cells have been bolded. Final sales is GDP less inventories. Source: Morgan Stanley Research

Exhibit 17: GDP nowcasts



Source: Federal Reserve Banks of New York and Atlanta, Morgan Stanley Research

Exhibit 18: Our tracking vs. the Atlanta Fed tracking

	Morgan Stanley		Atlanta Fed		Difference
	q/q%, ar	contrib	q/q%, ar	contrib	contrib, pts
GDP	2.8		3.6		-0.8
Final sales	1.2	1.2	1.6	1.6	-0.4
Final sales to dom. purchasers	3.9	4.0	4.1	4.3	-0.2
Private	4.3	3.7	4.4	3.8	-0.1
Consumption	3.3	2.3	3.4	2.3	0.0
Goods	3.6	0.8	3.1	0.7	0.1
Services	3.2	1.5	3.5	1.6	-0.1
Residential investment	-1.4	-0.1	-0.7	0.0	0.0
Equipment investment	15.0	0.9	17.6	1.0	-0.1
Nonres structures	5.0	0.1	6.9	0.2	-0.1
Intel. Property	8.0	0.5	6.6	0.4	0.1
Government	2.0	0.3	2.8	0.5	-0.1
Exports	-6.0	-0.7	-5.2	-0.6	-0.1
Imports	15.0	-2.2	14.9	-2.1	-0.1
Net exports		-2.9		-2.7	-0.2
Inventories		1.6		2.0	-0.4

Source: Federal Reserve Bank of New York, Morgan Stanley Research

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Data review & preview

Review of the past week's data

Exhibit 19:

Monday 05 Oct	Data	Period	Forecast	Consensus	Prev	Actual
9:45 AM	S&P US Services PMI	Sep F		58.7	58.7	58.8
10:00 AM	ISM Services Index	Sep		55.0	55.4	54.9
Tuesday 06 Oct	**Data**	**Period**	**Forecast**	**Consensus**	**Prev**	**Actual**
8:15 AM	ADP Weekly Employment Change	19-Sep			20	22.5
8:30 AM	Trade Balance	Aug	-102.0	-102.0	-88.6	-105.6
9:05 AM	Fed's Williams Moderates Panel					
10:45 AM	Fed's Bowman speaks on regulation and supervision					
1:15 PM	Fed's Schmid speaks on policy					
7:00 PM	Fed's Logan Moderates Conversation					
Wednesday 07 Oct	**Data**	**Period**	**Forecast**	**Consensus**	**Prev**	**Actual**
7:00 AM	MBA Mortgage Applications	2-Oct			-6.0	-4.2
11:00 AM	NY Fed 1-Yr Inflation Expectations	Sep		3.6	3.6	3.9
2:00 PM	FOMC Meeting Minutes	16-Sep				
3:00 PM	Consumer Credit	Aug		15.0	18.1	8.3
Thursday 08 Oct	**Data**	**Period**	**Forecast**	**Consensus**	**Prev**	**Actual**
4:30 AM	Fed's Waller speaks on outlook					
8:30 AM	Initial Jobless Claims	3-Oct	195	200	197	197
8:30 AM	Continuing Claims	26-Sep	1700	1700.0	1701	1716
10:00 AM	Wholesale Trade Sales m/m	Aug			0.8	1.8
10:00 AM	Wholesale Inventories m/m	Aug F		0.7	0.0	0.5
10:40 AM	Fed's Kashkari speaks					
1:40 PM	Fed's Musalem Speaks at Bloomberg Event On US Economy, Policy					
4:30 PM	Fed balance sheet (H.4.1)					
Friday 09 Oct	**Data**	**Period**	**Forecast**	**Consensus**	**Prev**	**Actual**
10:00 AM	U. of Mich. Sentiment	Oct P		47.7	48.1	
10:00 AM	U. of Mich. 5-10 Yr Inflation	Oct P		3.5	3.4	
4:00 PM	Fed's Collins speaks, no policy discussion					
4:15 PM	Commercial bank balance sheets (H.8)					

Source: Bloomberg, Morgan Stanley Research forecasts

Preview of upcoming data

Exhibit 20: Monday

Monday 12 Oct	Data	Period	Forecast	Consensus	Prev
12:10 PM	Fed's Hammack Speaks at NABE Conference	0-Jan			0.0

Source: Bloomberg, Morgan Stanley Research forecasts

Exhibit 21: Tuesday

Tuesday 13 Oct	Data	Period	Forecast	Consensus	Prev
3:45 AM	Fed Gov Waller Speaks				
6:00 AM	NFIB Small Business Optimism	Sep		98.0	98.7
8:15 AM	ADP Weekly Employment Change	26-Sep			0.0
10:00 AM	Existing Home Sales	Sep	3.93	3.96	3.98
10:00 AM	Existing Home Sales m/m	Sep	-1.3	-0.8	-2.0
2:00 PM	Federal Budget Balance	Sep			-166.8
4:00 PM	Fed's Collins Speaks at Banking Conference				

Source: Bloomberg, Morgan Stanley Research forecasts

Existing home sales. We expect a 1.3% m/m decline in existing home sales in September to 3.93mn. Pending home sales had been flat last month and down slightly the month before, while mortgage apps fell to the lowest level in a year and a half in September. Higher rates and prices continue to pressure affordability.

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Exhibit 22: Wednesday

Wednesday 14 Oct	Data	Period	Forecast	Consensus	Prev
5:40 AM	Fed Gov Bowman Speaks	0-Jan			
7:00 AM	MBA Mortgage Applications	9-Oct			0.0
8:30 AM	CPI m/m	Sep	0.62	0.6	0.4
8:30 AM	Core CPI m/m	Sep	0.24	0.2	0.3
8:30 AM	CPI y/y	Sep	3.7	3.6	3.4
8:30 AM	Core CPI y/y	Sep	2.5	2.5	2.4
8:30 AM	CPI Index NSA	Sep	336.792	336.623	334.980
2:00 PM	Fed Releases Beige Book				

Source: Bloomberg, Morgan Stanley Research forecasts

CPI. We forecast core CPI at 0.24% m/m in September (2.5%y/y), five basis points below August's 0.29% increase. We expect core services inflation to decelerate, mainly reflecting a normalization in communication services as the one-off increase in wireless telephone fees does not repeat this month. We forecast still positive core goods inflation, driven by higher vehicle prices and ongoing, albeit modest, pressure from AI-related demand. We expect headline CPI at 0.62% m/m and 3.69% y/y, reflecting another sizable increase in gasoline prices. Our forecast implies an NSA CPI index of 336.792.

Exhibit 23: Thursday

Thursday 15 Oct	Data	Period	Forecast	Consensus	Prev
8:30 AM	Retail Sales Advance m/m	Sep	0.3	0.3	1.2
8:30 AM	Retail Sales Ex Auto m/m	Sep	0.5	0.5	1.4
8:30 AM	Retail Sales Control Group	Sep	0.2	0.3	1.4
8:30 AM	Philadelphia Fed Manufacturing	Oct		26.4	37.8
8:30 AM	Initial Jobless Claims	10-Oct	190		197
8:30 AM	Continuing Claims	3-Oct	1700		1716
8:30 AM	PPI Final Demand m/m	Sep		0.5	0.4
8:30 AM	PPI Ex Food, Energy, Trade m/m	Sep			0.3
8:30 AM	PPI Final Demand y/y	Sep		5.3	5.4
8:30 AM	PPI Ex Food, Energy, Trade y/y	Sep			4.7
10:00 AM	Business Inventories	Aug		0.4	0.8
4:30 PM	Fed balance sheet (H.4.1)				
4:30 PM	Cleveland Fed Pres Hammack				
11:30 PM	Fed Chair Warsh in Fireside Chat with IMF's Georgieva				

Source: Bloomberg, Morgan Stanley Research

Retail sales. We expect headline retail sales rose 0.3%m/m in September, with sales ex autos up 0.5%m/m, and retail control group sales up 0.2%.

The uptick in headline sales is partly due to the higher prices at gas stations, where we expect sales rose 5.3%m/m, contributing 0.4 pct pt to headline sales. However, auto sales are expected to fall 0.8%, contributing -0.2 pt.

For retail control, the slower growth in labor market income, and the big uptick in August retail sales lead to our more moderate forecast. Other event-driven factors (release of new models of electronic devices, Labor day promotions, early Halloween sales) are only marginal factors for our forecast. We expect that sales of building materials were flat in September, and expect sales at restaurants fell 0.4%m/m.

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PPI. The PPI release will provide key inputs for updating our PCE tracker. We currently forecast core PCE inflation at 0.23% m/m, based on three assumptions: (1) PPI hospital and physician services both rise 0.21% m/m, slightly below their average pace this year; (2) another strong airfares print (2.76% m/m) driven by higher oil prices; and (3) flat software PPI prices.

Jobless claims continue to decline. The 198k four-week average in new jobless claims has fallen 8k over the past month and points to some modest reacceleration in payrolls. We forecast a further decline in new claims to 190k in the week ahead, with the four-week average declining to 195k.

Exhibit 24: Friday

Friday 16 Oct	Data	Period	Forecast	Consensus	Prev
8:30 AM	New York Fed Services Business Activity	Oct			-8.7
8:30 AM	Import Price Index m/m	Sep		0.6	0.7
8:30 AM	Export Price Index m/m	Sep		1.0	0.6
9:15 AM	Industrial Production m/m	Sep	0.4	0.4	0.0
9:15 AM	Manufacturing Production m/m	Sep	0.4	0.3	-0.3
9:15 AM	Capacity Utilization	Sep		76.5	76.3
4:00 PM	Total Net TIC Flows	Aug			83.7
4:00 PM	Net Long-term TIC Flows	Aug			-27.9
4:15 PM	Commercial bank balance sheets (H.8)				

Source: Bloomberg, Morgan Stanley Research

Industrial production probably rebounded from last month's decline, extending a modest uptrend. Manufacturing output has risen 0.9% over the past year, with broadening gains.

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Data calendar

Exhibit 25: October 12- October 23

Monday	*TUESDAY*	*WEDNESDAY*	*THURSDAY*	*FRIDAY*
12	13	14	15	16
Fed's Hammack Speaks (12:10 PM)	Fed's Waller Speaks (3:45 AM) NFIB Small Business Optimism (Sep, 6 AM) ADP Weekly Employment Change (Wk of 9/26, 8:15 AM) Existing Home Sales (Sep, 10 AM) Fed's Barkin Speaks (1 PM) Federal Budget Balance (Sep, 2 PM) Fed's Collins Speaks (4 PM)	Bowman in Moderated Conversation (5:40 AM) MBA Mortgage Applications (Wk of 10/9, 7 AM) CPI (Sep, 8:30 AM) Fed's Barkin Speaks (1:30 PM) Fed Releases Beige Book (2 PM) Beige Book (2 PM)	Retail Sales (Sep, 8:30 AM) Empire Manufacturing (Oct, 8:30 AM) Philadelphia Fed Manufacturing (Oct, 8:30 AM) Jobless Claims (Wk of 10/10, 8:30 AM) PPI (Sep, 8:30 AM) Business Inventories (Aug, 10 AM) Treasury Buyback (Nom Cpn 10Y-20Y, max >=$4 bil, 1:40 PM) Fed's Hammack Speaks (4:30 PM) Fed's Warsh Speaks (11:30 PM)	NY Fed Services Business Activity (Oct, 8:30 AM) Import & Export Prices (Sep, 8:30 AM) Industrial Production (Sep, 9:15 AM) TIC data (Aug, 4 PM)
19	20	21	22	23
NAHB Housing Market Index (Oct, 10 AM)	ADP Weekly Employment Change (Wk of 10/3, 8:15 AM) Philadelphia Fed Non-Manufacturing Activity (Oct, 8:30 AM) Housing Starts & Building Permits (Sep, 8:30 AM) Pending Home Sales (Sep, 10 AM)	MBA Mortgage Applications (Wk of 10/16, 7 AM) 20-Year Bond Auction (1 PM) Treasury Buyback (TIPS 1Y-10Y, max $750 mil, 1:40 PM)	Jobless Claims (Wk of 10/17, 8:30 AM) Leading Index (Sep, 10 AM) Kansas City Fed Manf. Activity (Oct, 11 AM) 5-Year TIPS Auction (1 PM)	Bloomberg Oct. United States Economic Survey (6 AM) S&P Flash Manuf. (Oct P, 9:45 AM) S&P Services PMI (Oct P, 9:45 AM) U. of Mich. Consumer Sentiment (Oct F, 10 AM) Kansas City Fed Services Activity (Oct, 11 AM)

Note: For updates post-publication of the Treasury Auction Schedule, see here. Source: Bloomberg, Morgan Stanley Research

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US economic outlook

Exhibit 26: Morgan Stanley forecasts

	4Q/4Q % change			Quarterly % change, annual rate (unless otherwise noted)							
	2025A	2026E	2027E	1Q26A	2Q26A	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Real GDP	**2.0**	**2.4**	**2.3**	**2.5**	**2.2**	**2.5**	**2.5**	**2.1**	**2.3**	**2.4**	**2.4**
Final Sales [1]	2.3	2.4	2.1	2.3	2.8	2.1	2.4	2.0	2.1	2.2	2.2
Final Domestic Demand [2]	**1.9**	**2.9**	**2.5**	**2.3**	**3.8**	**3.3**	**2.3**	**2.3**	**2.5**	**2.7**	**2.7**
Final Private Domestic Demand [3]	2.4	3.2	2.7	1.8	4.6	3.7	2.5	2.4	2.7	2.8	2.8
Personal Consumption Expenditures	2.1	2.3	1.8	0.7	3.8	2.9	1.9	1.5	1.8	2.0	2.0
— Goods	1.4	2.3	1.1	0.8	4.5	2.8	1.0	0.5	1.0	1.3	1.3
— Services	2.4	2.3	2.2	0.7	3.4	3.0	2.3	1.9	2.2	2.3	2.3
Nonresidential Fixed Investment	6.0	8.4	7.1	9.9	9.0	8.7	5.9	7.1	7.1	7.1	7.1
— Structures	-5.5	-3.9	2.0	-9.4	0.1	-3.0	-3.0	2.0	2.0	2.0	2.0
— Equipment	10.7	13.0	9.0	15.5	13.4	15.0	8.0	9.0	9.0	9.0	9.0
— IPP	8.5	10.1	7.5	15.6	9.2	8.0	8.0	7.5	7.5	7.5	7.5
Residential Investment	-3.8	-1.4	0.0	-7.6	2.8	-1.6	1.0	0.0	0.0	0.0	0.0
Exports	1.3	3.9	1.8	13.9	5.0	-6.0	2.5	1.8	1.8	1.8	1.8
Imports	-1.1	7.5	4.5	11.5	12.6	4.0	2.0	4.1	4.5	4.7	4.7
Government	-0.6	1.9	2.0	4.7	-0.1	1.4	1.4	2.0	2.0	2.0	2.0
Inventory contribution (pct pts, a.r.)	-0.2	0.0	0.1	0.2	-0.5	0.3	0.0	0.1	0.1	0.1	0.1
Trade contribution (pct pts, a.r.)	0.3	-0.6	-0.3	0.0	-1.1	-1.3	0.0	-0.4	-0.5	-0.5	0.0
Employment & Personal Income											
Civilian Unemployment Rate (%)	**4.5**	**4.2**	**4.3**	**4.3**	**4.3**	**4.1**	**4.2**	**4.3**	**4.3**	**4.3**	**4.3**
Civilian Labor Force Participation Rate (%)	62.5	61.6	61.4	62.0	61.7	61.6	61.6	61.6	61.5	61.4	61.4
Employment to Population Ratio (%)	59.7	59.0	58.7	59.3	59.1	59.1	59.0	58.9	58.9	58.8	58.7
Average Monthly Change in Nonfarm Payrolls (Thous.)	10	63	50	73	81	51	48	50	50	50	50
Real DPI	1.4	1.4	1.8	2.4	-0.2	2.3	1.0	1.7	2.4	1.3	2.0
Saving rate (%)	4.9	4.1	4.1	5.3	4.4	4.3	4.1	4.1	4.2	4.1	4.1
Business Indicators											
Industrial Production	1.5	2.1	2.0	1.2	4.5	1.7	1.1	1.8	2.0	2.1	2.1
Productivity	2.5	1.4	1.8	0.8	1.5	1.9	1.5	1.5	1.8	1.9	1.9
Inflation (quarterly % change, a.r.)											
Consumer Price Index				3.6	6.1	1.7	3.9	2.2	2.1	1.9	1.8
CPI ex Food & Energy				2.8	2.9	2.2	2.8	3.0	2.3	2.4	2.2
PCE Price Index				4.2	5.0	1.9	3.1	2.6	2.4	2.1	2.1
PCE ex Food & Energy				3.9	3.3	2.3	2.5	3.0	2.6	2.4	2.3
Inflation (4-quarter % change)											
Consumer Price Index	2.7	3.8	2.0	2.7	3.8	3.5	3.8	3.4	2.5	2.5	2.0
CPI ex Food & Energy	2.7	2.7	2.5	2.5	2.7	2.5	2.7	2.7	2.6	2.6	2.5
PCE Price Index	2.7	3.6	2.3	3.0	3.6	3.4	3.6	3.2	2.5	2.6	2.3
PCE ex Food & Energy	**2.8**	**3.0**	**2.6**	**3.0**	**3.1**	**3.0**	**3.0**	**2.8**	**2.6**	**2.6**	**2.6**
Monetary Policy											
Fed Funds Target (%, midpoint of target range)	**3.625**	**4.125**	**4.375**	**3.625**	**3.625**	**3.875**	**4.125**	**4.375**	**4.375**	**4.375**	**4.375**

1) GDP less contribution from inventory investment
2) GDP less contributions from inventory investment and trade
3) GDP less contributions from inventory investment, trade, and the government sector. (Private final consumption plus investment.)
Source: Bureau of Economic Analysis, Bureau of Labor Statistics, Federal Reserve, Census Bureau, Treasury Dep't, Morgan Stanley Research forecasts

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Exhibit 27: Monthly inflation forecasts

	% Change - Year-over-Year					% Change - Month-over-Month				Headline CPI
	Headline PCE	Core PCE	Headline CPI	Core CPI		Headline PCE	Core PCE	Headline CPI	Core CPI	NSA Index
Jan-25	2.6	2.8	3.0	3.3	Jan-25	0.35	0.33	0.43	0.43	317.671
Feb-25	2.6	2.8	2.8	3.1	Feb-25	0.28	0.32	0.23	0.25	319.082
Mar-25	2.3	2.6	2.4	2.8	Mar-25	0.08	0.11	0.03	0.07	319.799
Apr-25	2.3	2.7	2.3	2.8	Apr-25	0.23	0.30	0.16	0.24	320.795
May-25	2.5	2.8	2.4	2.8	May-25	0.19	0.23	0.10	0.13	321.465
Jun-25	2.6	2.8	2.7	2.9	Jun-25	0.25	0.25	0.25	0.23	322.561
Jul-25	2.6	2.8	2.7	3.1	Jul-25	0.14	0.18	0.23	0.31	323.048
Aug-25	2.7	2.9	2.9	3.1	Aug-25	0.25	0.22	0.35	0.31	323.976
Sep-25	2.8	2.8	3.0	3.0	Sep-25	0.29	0.23	0.30	0.22	324.800
Oct-25	2.7	2.7	2.9	2.8	Oct-25	0.15	0.18	0.13	0.09	#N/A
Nov-25	2.7	2.7	2.7	2.6	Nov-25	0.20	0.16	0.13	0.09	324.122
Dec-25	2.8	2.9	2.7	2.6	Dec-25	0.32	0.32	0.30	0.23	324.054
Jan-26	2.7	2.9	2.4	2.5	Jan-26	0.30	0.40	0.17	0.30	325.252
Feb-26	2.8	3.0	2.4	2.5	Feb-26	0.35	0.34	0.27	0.22	326.785
Mar-26	3.4	3.1	3.3	2.6	Mar-26	0.63	0.26	0.87	0.20	330.213
Apr-26	3.6	3.1	3.8	2.7	Apr-26	0.44	0.28	0.64	0.38	333.020
May-26	3.8	3.2	4.2	2.8	May-26	0.44	0.31	0.47	0.21	335.123
Jun-26	3.5	3.0	3.5	2.6	Jun-26	-0.10	0.13	-0.42	-0.02	333.952
Jul-26	3.4	3.0	3.3	2.5	Jul-26	0.05	0.13	0.07	0.22	333.918
Aug-26	3.4	3.0	3.4	2.4	Aug-26	0.31	0.25	0.40	0.29	334.980
Sep-26	**3.6**	**3.0**	**3.7**	**2.5**	**Sep-26**	**0.43**	**0.23**	**0.62**	**0.24**	**336.792**
Oct-26	**3.6**	**3.0**	**3.8**	**2.6**	**Oct-26**	**0.21**	**0.21**	**0.24**	**0.23**	**337.044**
Nov-26	**3.6**	**3.1**	**3.8**	**2.7**	**Nov-26**	**0.15**	**0.19**	**0.14**	**0.20**	**336.498**
Dec-26	**3.5**	**2.9**	**3.7**	**2.7**	**Dec-26**	**0.20**	**0.19**	**0.23**	**0.20**	**336.196**
Jan-27	**3.4**	**2.9**	**3.8**	**2.7**	**Jan-27**	**0.23**	**0.31**	**0.18**	**0.33**	**337.456**
Feb-27	**3.2**	**2.8**	**3.6**	**2.7**	**Feb-27**	**0.19**	**0.25**	**0.11**	**0.21**	**338.510**
Mar-27	**2.8**	**2.7**	**3.0**	**2.7**	**Mar-27**	**0.26**	**0.22**	**0.29**	**0.20**	**340.101**
Apr-27	**2.6**	**2.7**	**2.5**	**2.5**	**Apr-27**	**0.17**	**0.21**	**0.12**	**0.19**	**341.225**
May-27	**2.3**	**2.5**	**2.1**	**2.5**	**May-27**	**0.17**	**0.19**	**0.15**	**0.19**	**342.267**
Jun-27	**2.6**	**2.6**	**2.8**	**2.7**	**Jun-27**	**0.20**	**0.20**	**0.20**	**0.20**	**343.204**
Jul-27	**2.7**	**2.7**	**2.8**	**2.7**	**Jul-27**	**0.13**	**0.20**	**0.08**	**0.20**	**343.190**
Aug-27	**2.6**	**2.6**	**2.6**	**2.6**	**Aug-27**	**0.20**	**0.19**	**0.20**	**0.19**	**343.609**
Sep-27	**2.4**	**2.6**	**2.2**	**2.5**	**Sep-27**	**0.22**	**0.20**	**0.24**	**0.19**	**344.160**
Oct-27	**2.3**	**2.6**	**2.0**	**2.5**	**Oct-27**	**0.10**	**0.19**	**0.01**	**0.18**	**343.652**
Nov-27	**2.3**	**2.6**	**2.0**	**2.5**	**Nov-27**	**0.18**	**0.19**	**0.17**	**0.18**	**343.191**
Dec-27	**2.3**	**2.6**	**2.0**	**2.5**	**Dec-27**	**0.24**	**0.19**	**0.28**	**0.18**	**343.048**

Source: BLS, BEA, Morgan Stanley Research forecasts. PCE numbers include the impact of PCE historical revisions.

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US Outlook Scenarios

Exhibit 28: Morgan Stanley US Economics baseline and alternative outlooks for the US Economy: 2026 and 2027

	Aggregate Demand Shock: Animal Spirits (30%)	Rapid Disinflation (10%)	Baseline: Oil Risk Premium/Sticky Inflation (45%)	AI Productivity Boost with Labor Displacement (5%)	Recession (10%)
			Key Forecasts		
GDP growth	Elevated wealth supports consumption and "animal spirits" keep business spending elevated. GDP grows 3.0% in 2027, 0.5-1.0pp faster than the baseline.	High oil prices act as a tax on consumption near-term, though with slightly more rebound in mid-to-late 2027. Real growth rises to 2.6% (4Q/4Q) in 2027.	Oil prices reamining near $100/bbl in 4Q and 1Q weigh on growth near-term. Real GDP rises 2.3% in 2027 (4Q/4Q), though private final domestic demand decelerates slightly vs 2026.	GDP growth is steady, rising 2.0% in 2027. Strong business spending is offset somewhat by weaker labor markets and low consumer confidence. Despite softer inflation in 2027, consumer spending stays sluggish as labor displacement mounts.	Oil prices rise to $140-160/bbl. Supply shortages ensue, and demand destruction occurs. The result: mild recession with two quarters of negative GDP growth in mid-2027. Real GDP rises only 0.1% in 2027 (4Q/4Q).
Labor markets	Stronger demand results in tighter labor markets. The unemployment rate falls to 3.9% in 2026 and 3.5% in 2027.	Average monthly payroll gains are slightly stronger vs the baseline, around 60k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2027 unchanged vs 2026, around 4.2%.	The "curious balance" continues. Average monthly payroll gains average around 50k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2026 at 4.2% and 2027, a tenth higher vs 2026.	The economy experiences a prolonged period of net zero job creation. The separation rate edges higher, but widespread layoffs are avoided. The unemployment rate creeps higher, rising to 4.8% in 2027, 0.5pp above our baseline outlook.	Payrolls fall an average of 30k per month beginning in 2Q27. The unemployment rate rises to 5.5% next year.
Inflation	Inflation pressures step-up due to demand-side pressures. Headline inflation is 3.8% in 2026 and 2.8% in 2027. Core PCE inflation firms through Q1 27, prompting Fed hikes, which subsequently slow inflation.	High inflation in 2026 dissipates in 2027. Energy prices push headline PCE inflation to 3.4% 4Q/4Q in 2026. Headline and core PCE decelerate to 2.0% and 2.3% 4Q/4Q in 2027 as the oil shock fades. Energy is a headline story with no important second-round effects on core.	Two more years of above-target inflation. Energy prices push headline PCE inflation to 3.7% 4Q/4Q in 2026, while core accelerates to 3.2% on tariff push, the AI demand push, and second round effects from the oil shock. Headline and core PCE decelerate to 2.4% and 2.7% 4Q/4Q in 2027 as the inflationary effect of the oil shock fades.	Inflation rises on account of higher energy prices, but weak labor markets and slow wage growth provide offset. Headline inflation already peaked at 3.7% y/y in 2Q 2026 and finishes the year at 3.6%. Produtcivity gains speed up the disinflation process. Inflation falls back to the 2.0% target in 2027.	Headline inflation surges to 5.1% y/y in 4Q 2026. On weaker demand, inflation decelerates to 1.1% in 2027.
Federal reserve policy	Hikes to counter inflation. The Fed raises rates by 150bp in total to 5.00-5.25%, more than reversing the 75bp in pre-emptive cuts to support the labor market in 2025.	The Fed hikes once more in December, but with oil pressures abating, disinflation is faster and the Fed does not need to tighten further. They cut twice in 2H27, to a terminal rate of 3.5-3.75%.	Inflation remains sticky, leading to two more 25bp hikes in Dec 2026 and Mar 2027. The Fed then pauses there at 4.25%-4.5% for the remainder of 2027.	Labor displacement leads to cuts next year. The Fed hikes in Dec and March, but the rising unemployment rate leads the Fed to cut by 75bp in 2H27, to a terminal rate of 3.5-3.75%.	The Fed hikes in December and March as oil prices rise, but then shifts to cuts as downside risks to growth mount. They cut by 200bp beginning in mid-2027 to a terminal of 2.25-2.5%. No QE.
			Key Forecasts		
Consumer spending	Better than expected equity market returns and a rebound in labor markets boost consumption to around 3.0% in 2027. Upper-income consumers drive much of the spending, but nominal wage growth supports low- and middle-income spending.	Faster disinflation results in more of a rebound in real income, while policy is less of a constraint than in the base case. By mid-2027, we start to see some broadening out. Real consumption growth is similar in 2027 as 2026, around 2.1%.	Consumption has been resilient through the oil shock. Still soft real income growth and tighter policy continue to weigh on spending, especially for low- and middle-income consumers. Wealth is an offset, supporting the high-end. Consumption slows modestly to 1.8% in 2027.	Consumption slows further to 1.0-1.5% in 2027. In addition to near-term high gas prices, soft labor market conditions and fears of AI displacement make consumers turn cautious in 2027 despite improving real spending power from decelerating inflation.	Consumption falls for most of 2027, before a gradual reacceleration. Households cut back on durable goods spending. Negative wealth effects lead upper-income consumers to pull back, with spillover into broader spending.
Nonresidential fixed investment	Business spending broadens out beyond AI, due to animal spirits and fiscal support.	Similar to the baseline. AI-related spending remains robust, while AI adoption rates rise and firms realize productivity gains. Broadening out in non-AI sectors continue, perhaps at a slower pace.	AI-related spending remains robust, leading nonresidential fixed investment to moderate only modestly to 7.1% in 2027. AI adoption rates rise and firms realize productivity gains.	AI-related spending remains robust, leading nonresidential fixed investment to moderate only modestly to 7.1% 2027. AI adoption rates rise more than the baseline and firms realize higher productivity gains.	A retrenching business sector cuts employment and capex. Investment declines throughout 2H and into Q1 2027, followed by recovery.
Residential investment	Stronger growth is balanced by higher rates. Housing activity remains subdued.	Housing remains "stuck", but activity picks up slightly versus the base case on stronger real income growth and less restrictive policy. Residential investment grows modestly in 2027.	Housing remains "stuck" due to low affordability and limited inventory, which higher rates only reinforce. Residential investment is flat in 2027 after declining in 2026.	Housing activity remains sluggish in both 2026 and 2027, despite lower interest rates. Improved affordability is offset by softening labor market conditions.	Housing activity is weak on the back of slower growth and weak labor markets. Activity begins to pick up towards the end of 2027 as growth recovers and low rates spur demand.
Net trade	Imports are strong with strong demand, resulting in a larger drag on GDP and a wider trade deficit.	Imports are strong with somewhat stronger demand than the baseline , thus a larger drag on GDP. Imports rise 5.0% in 2027. Exports rise 1.8%. Net trade subtracts 0.4pp from growth in 2027.	Imports rise 4.5% in 2027 after strong 7.6% growth in 2026. Exports rise 1.8% in 2027 after 3.0% in 2026. Net trade subtracts 0.3pp from growth next year .	Relative to the baseline, imports are softer. AI-related imports are robust, but imports of consumer goods are more muted on the back of softer household spending. Net trade subtracts 0.2pp from growth next year 2027.	Imports and exports both fall over the next few quarters as demand falls and slow global growth limits export demand. Net trade contributes positively to growth in 2026.
Fiscal policy	Fiscal multipliers are higher than in the baseline, resulting in higher contribution to growth. With stronger growth, fiscal deficits decline.	The fiscal impulse in the OBBBA is neutralized by higher gasoline prices. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.0% of GDP.	Higher gas prices more than offset the growth effects of the OBBBA. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.3% of GDP.	Similar to the baseline. A softer labor market means slightly less revenue growth and more automatic stabilizers. The deficit is 6.3% of GDP in 2026 and 2027.	Deficits rise further as tax receipts decelerate and automatic stabilizers boost transfer payments. Defense spending picks up. The deficit as a percent of GDP is 6.9% in 2026 and 6.7% in 2027
Credit conditions	Credit conditions loosen somewhat on the heels of stronger growth and animal spirits. Bank lending accelerates.	Geopolitical uncertainty combined with consumer resilience mean conditions are steady over the forecast horizon.	Geopolitical uncertainty combined with consumer resilience mean conditions are steady over the forecast horizon.	Credit conditions bifurcate, with willingness to lend to consumers worsening amid solid growth in C&I lending.	Credit conditions tighten further as the economy contracts. By late next year, the Fed has eased policy enough to encourage some new credit supply but demand remains weak.
Productivity growth	Similar productivity growth as the baseline, even with stronger employment growth.	Productivity rises faster than in the baseline in 2027. Productivity gains are from higher output, not less employment.	Productivity rises 1.8% in 2027, with a modest boost from AI.	Higher productivity growth than the baseline, which brings greater labor displacement.	With rapid declines in output, productivity falls over the next few quarters. Productivity then begins to recover in 2027.
Consumer and business confidence	Confidence rebounds across the course of the year, and further in 2027.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Labor displacement pushes consumer confidence down further, testing new lows. Business optimism remains elevated.	Recession pushes confidence down further, testing new lows.

Source: Morgan Stanley Research forecasts

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